



Interest rates

Interest is effectively the price charged by a lender to a borrower for the use of funds. The national reserve interest rate, set by the central bank, affects how easy it is to borrow or lend money in a country.

How it works

Lenders charge interest on the money or other assets that they loan. This is a charge levied to cover risks to the lender, should the borrower fail to repay the loan. Borrowers perceived to present a greater risk of failing to repay a loan may be charged more. Interest charges also compensate lenders for profits that they may have

made if the money had been invested elsewhere.

Interest charges with banks and other financial or business institutions are normally calculated as a percentage of the borrowed amount and expressed as a yearly figure—the annual percentage rate or APR (*see p.210*). In the US, the Fed plays a key role in setting national interest rates (*see pp.100–103*).

How interest rates are set

The base rate of interest is set by a country's central bank in response to inflation targets set by its government. Commercial banks respond to changes in the base rate by adjusting the interest rates of the different products that they offer.



Government

Each year, the government sets out its goals for economic growth and rates of employment. One such aim is to achieve price stability, as this makes for stable economic growth. Prices are kept steady when inflation occurs at a limited rate, so the government sets an inflation target, beyond which prices should not rise or fall. This is announced annually, expressed as a percentage of the Consumer Price Index (CPI). The CPI is the cost of a basket of representative goods bought by a household, measured periodically. The 2016 inflation target for the US, Eurozone, and Japan was 2 percent.



Central bank

The government's inflation target is noted by the central bank, who then sets the base rate—the interest rate that the central bank charges commercial banks to borrow from it. The central bank does this in order to encourage commercial banks to adjust their rates in line with the base rate, as bank rates determine the ease with which customers and businesses can borrow and so affects investment, spending, employment rates, and wage levels in the wider economy. This in turn influences the prices charged for products, which affects inflation (*see pp.122–123*).



Base rate

Raising the base rate means that commercial banks pay higher interest on money they borrow from the central bank, making it more expensive for them to borrow. Lowering the base rate means that commercial banks pay less interest on reserves they borrow from the central bank, which makes their borrowing cheaper.

